1. Human Resource Management

- It aims to recruit capable, flexible and committed people, managing and training them and rewarding them accordingly.
- HRM has a major impact on efficiency, flexibility and motivation

1.1. Purpose and roles of HRM

- Recruit and train workers to ensure maximum productivity so that all corporate objectives are met
- In the past, HRM was:
  - Bureaucratic and had inflexible approach
  - Focused solely on recruitment and selection rather than development and training
  - Reluctant to delegate
  - Not part of the strategic management team
- Roles of HRM include:
  - Workforce planning – identifying future needs in terms of number of employees and skills required
  - Recruitment and selection – recruiting the most suitable employees
  - Developing employees – training, appraisal and developing employees
  - Employment contracts – preparing employment contracts and ensure they are abided by
  - Ensuring HRM operates across the business – involving managers in development and training of employees
  - Employee morale and welfare – monitoring and improving employee morale. Giving guidance and advice and ensuring appropriate work-life balance
  - Incentive systems – paying appropriately
  - Monitoring -measuring and monitoring employee performance
  - Dismissing employees with inappropriate behaviour

1.2. Recruitment

- It is necessary when a business is expanding or employees are leaving the organisation

Job analysis

- It involves identifying a vacant position, understanding its roles and responsibilities.

Job description

- It provides a complete picture of what the job will entail, its roles, rights and responsibilities.
- It helps attract the right type of people to the job

Person specification

- It includes analysis of the type of qualities, skills and characteristics needed by any person appointed to a job. It is based on the job description after assessing the complexity of the job. It is a 'person profile' for the job

Job advertisement

- It includes the requirements, personal qualities needed. It can be displayed within the organisation or outside, depending on the recruitment method chosen.
- If external, can advertise in online recruitment services, newspapers, magazines, government agencies, recruitment agencies, etc.

1.3. Types of Recruitment

1. External – outside the organisation
   - Bring new ideas
   - Wider choice of applicants
   - Avoids jealousy and resentment
   - Standard of applicants maybe higher
2. Internal – from within the organisation
   - Already known to the business, no need for induction training
   - Known to the selection team
   - Well aware of the organisational culture, ethical code of conduct, etc.
   - Quicker, less time consuming
   - Cheaper
   - Gives workers a chance to progress, motivates them, Herzberg, Maslow
   - Management style already known

1.4. Selection process

Shortlisting applicants

- After receiving various applications, the business will shortlist them according to their CV's, references, previous work, etc

Selecting between applicants

- The shortlisted candidates are then selected through interviews, aptitude tests, psychometric tests, trail work, etc
- They often use a 7-point plan – achievement, intelligence, skills, interests, personal manner, physical appearance, personal circumstances

1.5. Employment contracts

- They are legally binding documents to ensure that all policies are fair and in accord with the current employment laws.
- It includes workers responsibilities, working hours, holiday entitlement, wages, appraisal process, etc

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- It imposes responsibility on both employers and employees to honour the contract.

1.6. Labour turnover

- It measures the rate at which employees leave the organization

  average number of employees employed

  Labour Turnover Rate = (Number of Employees Leaving in 1 Year) ÷ (Average Number of Employees) × 100

Cost of labour turnover

High and increasing labour turnover indicates low moral and employee discontent

- It increases costs of recruiting, selecting training new workers
- Customer service maybe compromised
- Difficult to establish loyalty and team spirit

Potential advantages of labour turnover

- Low skilled workers may be replaced by productive ones
- New ideas
- May reduce costs if business is planning redundancy and rationalisation

1.7. Training and development of employees

- It is work-related education given to employees to improve their efficient and productive
- Types of training –
  - Induction training –
    - It is an introduction training given to all new employees
    - It helps the worker understand the customs, procedure, layout of the organisation
  - On-the-job training –
    - Instructions at the place of the work
    - Done by watching and working closely with an experienced member
    - It is cheaper
  - Off-the-job training –
    - Instructions given away from the work place by experts
    - It is expensive but more productive
    - Training is expensive
    - But it will increase morale amongst employees as they will feel more valued and secured as it will increase chances of promotion
    - It may encourage poaching which acts as a disincentive for companies to set up expensive training programmes
    - Increases productivity and efficiency
    - Makes the workforce more flexible
    - Better customer service and lower accidents

1.8. Development and appraisal of employees

- Development is a continuous process in the form of new challenges and opportunities
- It is to help an employee achieve self-actualisation and fulfilment levels
- Appraisal is a process of assessing employee effectiveness. It is a part of the staff-development programme
- The performance is measured against pre-set goals.
- It encourages them to work harder

1.9. Discipline and dismissal of employees

- If a worker fails to meet obligations in the contract of employment, the HR department has to discipline them
- They can even be dismissed. This is when a worker is asked to leave, due to parts of their job or behaviour being unsatisfactory
- There maybe chances of unfair dismissal allegations if the organisation can not prove that the necessary steps have been take to avoid it.
- These may include verbal warnings, written warnings, training sessions, etc
- An employee may reach out to an employment tribunal to claim unfair dismissal

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1.10. Redundancies

- Redundancy is when a worker loses their job because the job is no longer necessary, through no fault to their own
- This is done when there is a fall in demand, advances in technology, business is trying to rationalise and cut costs
- Business must ensure these announcements are made efficiently as they have a major impact on other employee's morale and job security.

1.11. Employee morale and welfare

- HR departments are expected to offer advice, counselling and guidance to employees who are in need of it.
- Increases morale and sense of loyalty

1.12. Work-life balance

- It is where workers are not able to balance time between their work and their personal life.
- Workers expected to work long and unsociable hours leads to stress and poor health
- HR must work with employees to help them achieve good work-life balance to increase efficiency and productivity
- Some methods to do this may include:
  - Flexible working
  - Teleworking – work from home facility
  - Job sharing – 2 people working as one full time employee
  - Sabbatical periods – extended period leave from work
- This is mainly due to:
  - Consumers expect access to goods and services 24/7
  - Globalisation and increased competition

1.13. Policies for diversity and equality

- Equality is when everyone is treated fairly and has equal chances to succeed
- Diversity is the process of creating a mixed workforce
- Benefits –
  - Higher reputation
  - Higher morale
  - Ability to recruit top talent
  - Capture a greater consumer market
  - Better ideas and greater creativity

1.14. Encouraging Intrapreneurship through Employee Development

- Foster independent thinking and creativity.
- Provide opportunities to collaborate with skilled employees from various departments.
- Empower employees with authority and resources for innovation.
- Accept and expect some failure; removing the fear of failure is crucial.
- Start with small ideas before tackling larger projects

1.15. Benefits of Cooperation between Management and Workforce

- Reduces strike days and industrial action.
- Eases the implementation of workplace changes, such as automation.
- Management may recognize and reward workforce contributions with better pay and benefits.
- Enriches business competitiveness through efficient operations.
- Workers' insights contribute to more effective decision-making.

1.16. Trade union:

A trade union is a workers' organization that protect the rights of the employees, negotiates on wages and work conditions, and supports their members in disputes.

Impact of Trade union involvement in workplace:

- Trade unions gain power through unity, allowing them to negotiate better pay and conditions for all members.
- Collective action/bargaining, like strikes, is more effective than individual efforts.
- Unions offer legal support for claims of unfair dismissal or poor working conditions.
- They ensure employers meet legal requirements, such as health and safety rules.

Collective bargaining and it's benefits:

The process where a group of workers, usually through a union, negotiate with their employer as a team to improve pay and working conditions.

- The benefit of collective bargaining are:
  - Employers deal with a single individual representing the union instead of individual workers, saving time and ensuring fair treatment.
  - Unions provide a way to communicate problems and plans between workforce and management.
  - Unions can prevent disruptive, hasty industrial action by disciplining members.
  - Responsible union system helps employers and unions discuss shared issues, leading to better agreements and higher job security for employees. It also leads to higher productivity, increased profits for the business.

Ways Trade union leaders use industrial action during dispute with employers when cooperation are non-existent:

- Continue collective bargaining: This can be done with the help of an independent arbitrator.

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- Go slow: In this industrial action, workers keep working but at the slowest pace demanded by their contract of employment.
- Work-to-rule: Here, employees refuse to do any work outside the precise terms of the employment contract. Overtime will not be worked and all non-contractual cooperation will be withdrawn.
- Overtime bans - industrial action in which workers refuse to work more than the contracted number of hours each week. During busy periods, this could lead to lost output for the employer, damaging the potential sales.
- Strike action - the most extreme form of industrial action in which employees totally stop working for an indefinite period of time. Strike action leads to production stopping and the business shutting down during the industrial action.

Methods employers use to resolve an industrial dispute:

- Negotiations: Try to find a compromise to avoid industrial action.
- Public relation Campaign: Use public relations to win public support and pressure the union to settle.
- Redundancy Threats: Warn of potential job cuts to push unions toward a settlement.
- Contract Changes: Require workers to do overtime, accept flexible hours, or agree not to strike.
- Lock-Outs: Temporarily close the business to stop employees from working and getting paid.
- Business Closure: Shut down the business completely, leading to all workers being laid off.

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